AR 2EB

ALAMEDA RESEARCH
2: ELECTRIC BOOGALOO
LONG HORIZONS · STRUCTURAL SHIFTS · IMAGINATION

Lululemon Athletica

1 June 2026 · the qualitative
$127.00

NASDAQ : LULU · Mature-Company DCF

$15.2B mkt cap · 114M sh · $1.8B cash, zero debt · $1.8B cash, no debt; ~114M shares; heavy buyback, no dividend; Revenue $11.1B FY25 (+5%, decelerating from +42%); ~22% op margin, ~$1.58B FCF; Down ~60% from the $340 high; US declining, China/international +20-29%

THE CENTRAL QUESTION

Is lululemon's ~60% de-rating to ~10x FCF an overshoot on a still-profitable premium brand — or the early innings of structural brand impairment (US decline, Alo/Vuori share loss)?

Lululemon trades at ~$15B (≈$127/sh, down ~60% from $340) — ~10x FCF on $11.1B revenue, ~22% operating margins, net cash and a heavy buyback. Growth has decelerated hard (+42%→+5%, guided +2-4%): the US is shrinking (-1 to -3%) while China/international compound +20-29%. The mature DCF asks whether the brand stabilizes and defends margins, or whether dupes (Alo, Vuori) and stale product structurally impair it. The finding: even pricing real brand-impairment downside (ultra-bear -34%), the modal stabilization case at 10x FCF implies the de-rating overshot.

PROBABILITY-WEIGHTED EXPECTED VALUE

$209.94 expected fair value today
+65.3% vs spot $127.00

FORWARD COMPOUNDED VALUE

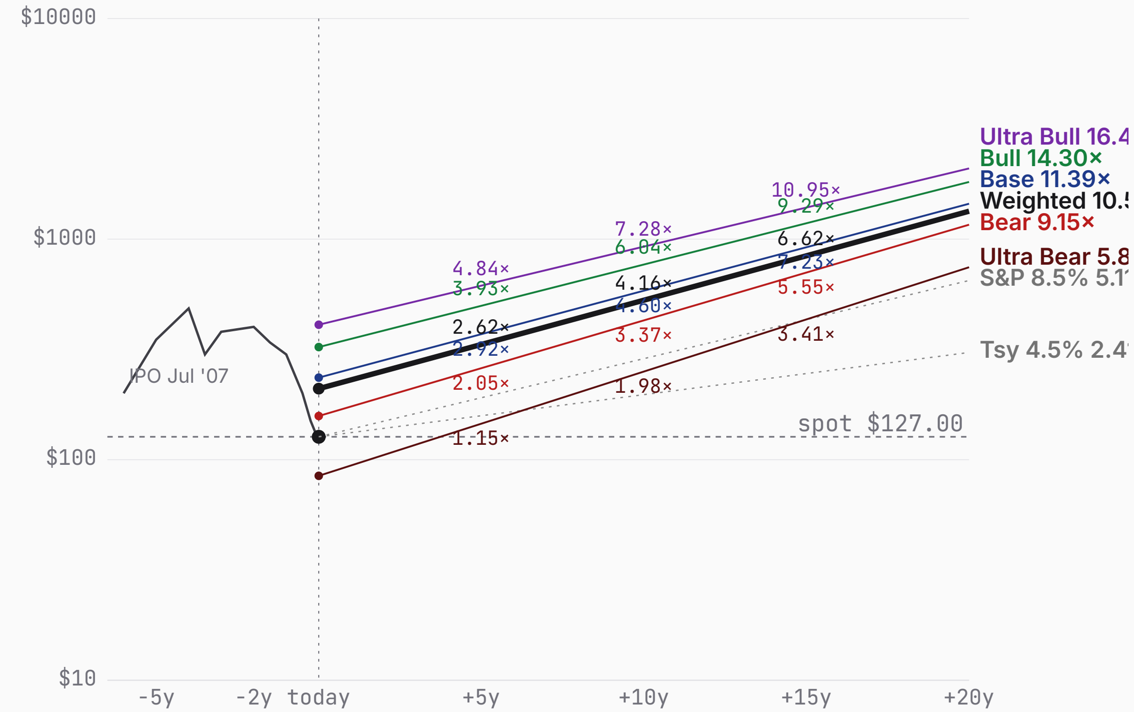
+5y	+10y	+15y	+20y
$332.91	$528.59	$840.41	$1,338.00
2.62× spot	4.16× spot	6.62× spot	10.54× spot

WEIGHTING RATIONALE

Ultra Bear 15% Brand impairment; US decline; ~$85 (-34%).
Bear 32% Share loss; US shrinks; ex-growth; ~$158 (+24%).
Base 33% US stabilizes + China/intl; ~$236 (+85%).
Bull 15% New-CEO turnaround; ~$324 (+155%).
Ultra Bull 5% Full re-rate + China; ~$409 (+222%).

Bull (15%) + Ultra Bull (5%) together contribute $69.06 — 33% of the $209.94 expected value despite 20% combined probability. Today's spot ($127.00) sits 40% below the weighted expected; forward-weighted value crosses spot between +5y and +10y.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED



ULTRA BEAR	BEAR	BASE	BULL	ULTRA BULL
$84.51	$157.77	$235.52	$324.02	$409.07
-33.5% vs spot	+24.2% vs spot	+85.4% vs spot	+155.1% vs spot	+222.1% vs spot
CAGR -3.8% WACC 11.5%	CAGR +1.0% WACC 10.5%	CAGR +4.2% WACC 9.5%	CAGR +6.6% WACC 9.0%	CAGR +9.2% WACC 8.5%
CAGR -3.8% Prob 15%	CAGR +1.0% Prob 32%	CAGR +4.2% Prob 33%	CAGR +6.6% Prob 15%	CAGR +9.2% Prob 5%
Brand impairment; US decline; margins crater.	Share loss continues; US shrinks; capped.	US stabilizes; China/international compounds.	New-CEO turnaround; margin recovery.	Full re-rate; China + footwear scale.

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Lululemon Athletica scenario narratives

PROBABILITY WEIGHTS

Ultra Bear 15% Bear 32% Base 33% Bull 15% Ultra Bull 5% · Weighted expected $209.94 (+65.3% vs spot)

ULTRA BEAR $84.51

-33.5% vs spot

Probability 15%

Brand impairment; US decline; margins crater.

WHY 15%

The genuine bear: the founder himself called the product stale, US (50%+ of sales) is already declining, and DTC share fell 30%→24% in a year. 15% weight on real brand impairment.

WHAT HAPPENS

Brand heat fades like Under Armour's: US revenue keeps declining, Alo/Vuori and dupes take share, and the full-price model erodes into promotions. Revenue falls ~4%/yr; operating margins compress toward single digits.

A shrinking premium brand earns a distressed multiple — DCF ~$85, ~33% below spot. The net cash and buyback cushion the floor but can't offset structural impairment.

BEAR $157.77

+24.2% vs spot

Probability 32%

Share loss continues; US shrinks; capped.

WHY 32%

Share loss continues and the dupe pressure caps the multiple, but the brand doesn't break. 32% weight as the plausible 'stalls but survives' path given the bearish US momentum.

WHAT HAPPENS

The US stays soft and international decelerates; lululemon holds its position but doesn't grow, and tariffs/promotions keep margins below the historical peak. Revenue roughly flat, low-teens FCF margin.

DCF ~$158 (+24%) — even a 'dominant but ex-growth' brand at ~11x FCF is worth more than today's price; the de-rating already prices worse.

BASE $235.52

+85.4% vs spot

Probability 33%

US stabilizes; China/international compounds.

WHY 33%

Requires US stabilization (not re-acceleration) plus continued international compounding — consistent with FY26 guidance. 33% as the central outcome; the brand's cornered-resource fabrics + community don't vanish.

WHAT HAPPENS

The modal path: the US stabilizes under new CEO Heidi O'Neill (ex-Nike) while China/international keep compounding ~20%, blending to ~4% total growth at a defended ~22% operating margin.

DCF ~$236 (+85%). A stabilizing premium brand at 10x FCF with a long international runway is simply mispriced if the modal case plays out — the core of the thesis.

BULL $324.02

+155.1% vs spot

Probability 15%

New-CEO turnaround; margin recovery.

WHY 15%

O'Neill's product fix works and the US re-accelerates while international compounds — a real turnaround. ~15% weight; lululemon has done it before.

WHAT HAPPENS

The turnaround lands: product newness re-accelerates the US, international/China stay hot, footwear/men's scale, and margins recover toward 24%. Revenue compounds ~7%.

DCF ~$324 (+155%) — back toward the old growth-compounder valuation as the brand re-rates with the fundamentals.

ULTRA BULL $409.07

+222.1% vs spot

Probability 5%

Full re-rate; China + footwear scale.

WHY 5%

Everything works — US turnaround AND China AND categories AND a multiple re-rating. ~5%, the asymmetric upside the depressed entry is buying.

WHAT HAPPENS

The full turnaround: China becomes a second home market, footwear/men's/international all compound, and lululemon re-rates to a premium growth multiple. Revenue ~10% CAGR at peak margins.

DCF ~$409 (+222%) — the brand reclaims its compounder status; ~5% probability.

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INTERNAL RESEARCH · MEMO · NOT INVESTMENT ADVICE · AI-ASSISTED

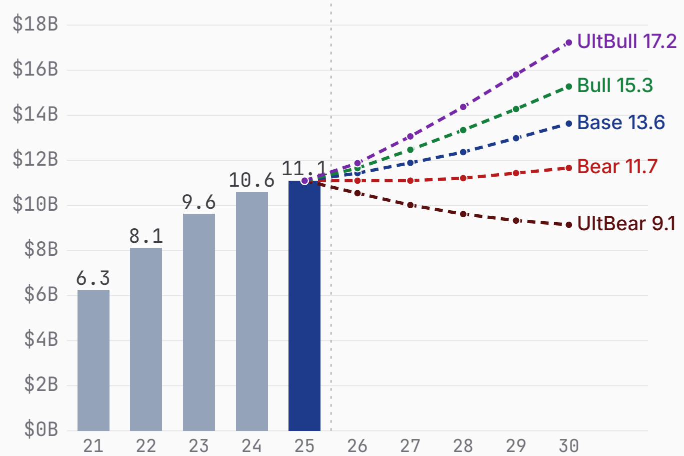
Lululemon Athletica business snapshot

1 June 2026 · the snapshot

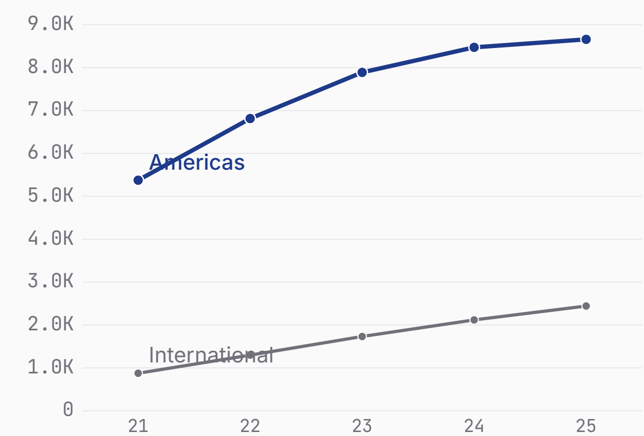
Bear $157.77 Base $235.52 Bull $324.02

FY21-FY25 history + FY26-FY30 scenario projections · fiscal years end late Jan · FY2025 (Feb'26) results

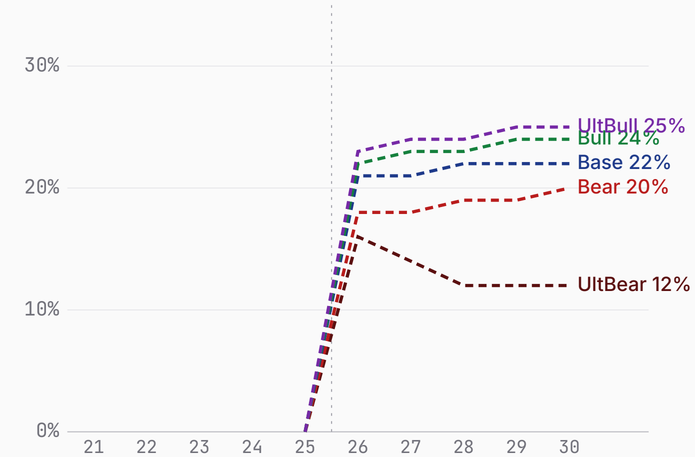
Revenue ($B) — history + scenarios to FY30



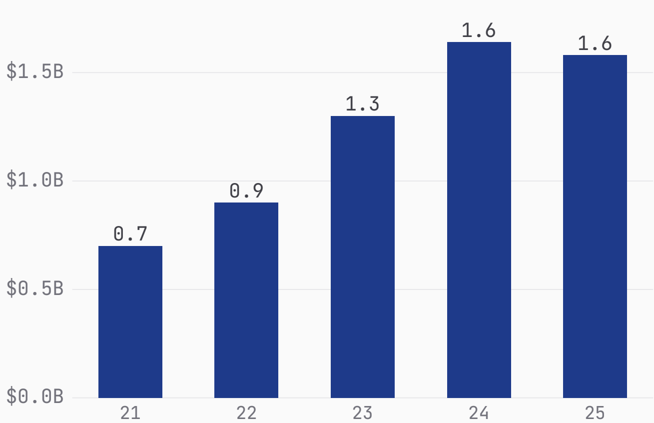
Revenue by segment ($M)



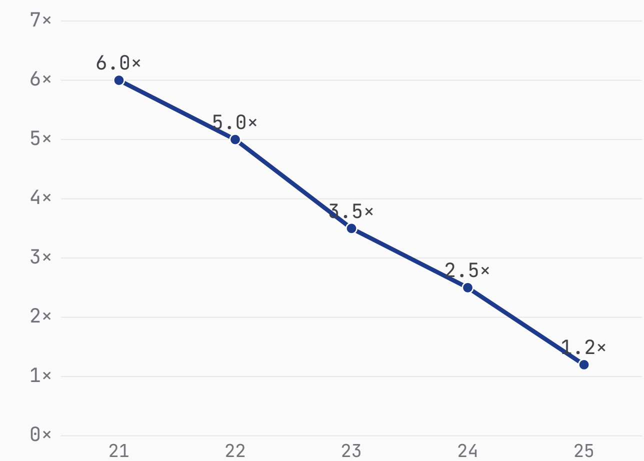
Op margin — history + scenarios



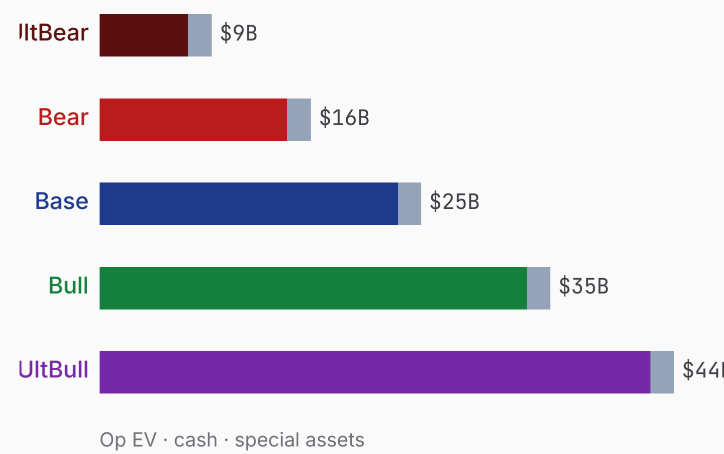
Free cash flow ($B) — history



EV / Revenue — historical



Equity build (Op EV + net cash)



Sources: lululemon FY2025 results (year ended Feb 1, 2026; revenue $11.1B, FCF ~$1.58B, net cash ~$1.8B), FY2026 guidance, Earnest/Retail Dive share data. Revenue as a growth-rate path off FY25; FCF = revenue x FCF margin; Gordon terminal at scenario WACC. EV/sales vs premium-apparel peers.

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Lululemon Athletica 7 Powers · the moat, scored

Bear $157.77 Base $235.52 Bull $324.02

Arena. Premium athleisure — lululemon (brand + proprietary fabrics, ~60% DTC) vs Nike, Alo Yoga, Vuori, Athleta, On, fast-fashion dupes; defending a premium brand Power as US share erodes.

POWER AUDIT
dominant-power durability: medium

POWER AUDIT · 7 POWERS

Scale Economies	Sourcing/marketing leverage at $11B revenue, but apparel scale is limited vs Nike.
Network Economies	Community/ambassadors are brand affinity, not a hard network.
Counter-Positioning	Was the women's-first disruptor; now the incumbent being counter-positioned by Alo/Vuori.
Switching Costs	Weak — apparel is promiscuous; this is why dupes bite.
Branding · thesis leans here	The dominant Power: premium pricing, cult community, ~58% gross margin — but eroding in US (DTC share 30%→24%).
Cornered Resource	Proprietary fabrics (Nulu/Luxtreme/Everlux) + fit/quality + patents — durable, the hardest piece to dupe.
Process Power	Design/supply learning curve; modest.

PEER SET

Nike — 2% gr · 11% mgn · ~25x P/E
Scale leader, mid-cycle reset; women's/DTC is lululemon's edge vs Nike.

Alo Yoga — · private
Influencer-led, fashion-forward; ~88% growth, taking US share at higher tickets.

Vuori — · private
Workout-to-everyday; ~33%+ growth, premium-priced, gaining share.

On Holding — 30% gr · 10% mgn · ~45x P/E
Premium performance, fast-growing; adjacency pressure.

THREAT VECTORS · FALSIFIERS

Branding · Alo Yoga + Vuori (US share)
falsifier: Americas revenue declines for 2+ years while DTC share falls below 22%.

Counter-Positioning · Fast-fashion dupes
falsifier: Gross margin compresses below 55% on sustained promotions/markdowns.

Scale Economies · Nike / macro down-trade
falsifier: International growth decelerates below 10% while the US keeps shrinking.

COMPETITIVE READ

lululemon's brand Power is genuinely durable internationally (China +29%, only 16% of revenue) and underpinned by cornered-resource fabrics, but it is eroding in the saturated US where Alo/Vuori and dupes are taking DTC share and the founder calls the product stale. The ~60% de-rating to ~10x FCF prices structural impairment; the DCF tests whether the brand stabilizes — and even a real-impairment ultra-bear is only -34%, while the modal stabilization implies the sell-off overshot.

INTERNAL RESEARCH · MEMO · NOT INVESTMENT ADVICE · AI-ASSISTED

1 June 2026 · the quantitative

Lululemon Athletica show your work

Bear $157.77 Base $235.52 Bull $324.02 · Weighted $209.94 (+65.3%)

ULTRA BEAR $84.51

ASSUMPTIONS

5y revenue CAGR (%)	-3.8
Year-5 op margin (%)	12.0
WACC (%)	11.5
Terminal growth (%)	0.0
5y revenue CAGR (%)	-3.8
Starting revenue ($B)	11.10
Scenario probability (%)	15

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	10.54	+16%	+1.05	+0.94
FY27	10.02	+14%	+0.90	+0.73
FY28	9.62	+12%	+0.77	+0.56
FY29	9.33	+12%	+0.75	+0.48
FY30	9.14	+12%	+0.73	+0.42

Σ PV explicit FCF	+3.13
+ PV terminal (g 0.0%)	3.69

EQUITY BUILD · $B & PER SHARE

Operating EV	$6.82B
+ Cash & investments	$1.80B
= Equity value	$8.62B
FY30 shares (M)	102
= Expected per share	**$84.51**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$145.64	$250.99	$432.54	$745.43
1.15×	1.98×	3.41×	5.87×

BEAR $157.77

ASSUMPTIONS

5y revenue CAGR (%)	+1.0
Year-5 op margin (%)	20.0
WACC (%)	10.5
Terminal growth (%)	1.5
5y revenue CAGR (%)	+1.0
Starting revenue ($B)	11.10
Scenario probability (%)	32

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	11.10	+18%	+1.22	+1.10
FY27	11.10	+18%	+1.22	+1.00
FY28	11.21	+19%	+1.34	+1.00
FY29	11.44	+19%	+1.37	+0.92
FY30	11.66	+20%	+1.40	+0.85

Σ PV explicit FCF	+4.87
+ PV terminal (g 1.5%)	9.58

EQUITY BUILD · $B & PER SHARE

Operating EV	$14.45B
+ Cash & investments	$1.80B
= Equity value	$16.25B
FY30 shares (M)	103
= Expected per share	**$157.77**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$259.92	$428.20	$705.44	$1,162.17
2.05×	3.37×	5.55×	9.15×

BASE $235.52

ASSUMPTIONS

5y revenue CAGR (%)	+4.2
Year-5 op margin (%)	22.0
WACC (%)	9.5
Terminal growth (%)	2.0
5y revenue CAGR (%)	+4.2
Starting revenue ($B)	11.10
Scenario probability (%)	33

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	11.43	+21%	+1.49	+1.36
FY27	11.89	+21%	+1.55	+1.29
FY28	12.37	+22%	+1.73	+1.32
FY29	12.98	+22%	+1.82	+1.26
FY30	13.63	+22%	+1.91	+1.21

Σ PV explicit FCF	+6.44
+ PV terminal (g 2.0%)	16.49

EQUITY BUILD · $B & PER SHARE

Operating EV	$22.93B
+ Cash & investments	$1.80B
= Equity value	$24.73B
FY30 shares (M)	105
= Expected per share	**$235.52**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$370.76	$583.67	$918.84	$1,446.47
2.92×	4.60×	7.23×	11.39×

BULL $324.02

ASSUMPTIONS

5y revenue CAGR (%)	+6.6
Year-5 op margin (%)	24.0
WACC (%)	9.0
Terminal growth (%)	2.5
5y revenue CAGR (%)	+6.6
Starting revenue ($B)	11.10
Scenario probability (%)	15

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	11.65	+22%	+1.63	+1.50
FY27	12.47	+23%	+1.87	+1.57
FY28	13.34	+23%	+2.00	+1.55
FY29	14.28	+24%	+2.28	+1.62
FY30	15.28	+24%	+2.44	+1.59

Σ PV explicit FCF	+7.82
+ PV terminal (g 2.5%)	25.05

EQUITY BUILD · $B & PER SHARE

Operating EV	$32.87B
+ Cash & investments	$1.80B
= Equity value	$34.67B
FY30 shares (M)	107
= Expected per share	**$324.02**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$498.54	$767.07	$1,180.24	$1,815.94
3.93×	6.04×	9.29×	14.30×

ULTRA BULL $409.07

ASSUMPTIONS

5y revenue CAGR (%)	+9.2
Year-5 op margin (%)	25.0
WACC (%)	8.5
Terminal growth (%)	2.5
5y revenue CAGR (%)	+9.2
Starting revenue ($B)	11.10
Scenario probability (%)	5

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	11.88	+23%	+1.78	+1.64
FY27	13.06	+24%	+2.09	+1.77
FY28	14.37	+24%	+2.30	+1.80
FY29	15.81	+25%	+2.69	+1.94
FY30	17.23	+25%	+2.93	+1.95

Σ PV explicit FCF	+9.10
+ PV terminal (g 2.5%)	33.28

EQUITY BUILD · $B & PER SHARE

Operating EV	$42.38B
+ Cash & investments	$1.80B
= Equity value	$44.18B
FY30 shares (M)	108
= Expected per share	**$409.07**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$615.10	$924.90	$1,390.73	$2,091.18
4.84×	7.28×	10.95×	16.47×

Lululemon Athletica People · Opportunity · Context · Deal

Bear $157.77 Base $235.52 Bull $324.02

Underwrite the position the way a venture investor underwrites a round — across all four legs, public or private. **People** is the leg scored here (observable only); Opportunity, Context and Deal cross-reference the rest of the memo.

PEOPLE · WHO RUNS / OWNS / FUNDS IT

Interim co-CEOs (M. Frank, A. Maestrini)

7%
insider ownership

MEDIUM
key-person risk

Capital allocation (realized)
No dividend; capital returned via large executed buybacks (~$2.5B / 9.1M shares Dec-2023→Aug-2025; +$1.0B Dec 2025, ~$1.6B remaining), otherwise reinvested in stores/product. The one notable deal — Mirror (~$500M, 2020) — failed: a ~$443M post-tax impairment (FY2022), hardware ceased 2023.

Incentive alignment
Standard structure (base + cash bonus + majority-equity PSU LTI). Say-on-pay passed but support slipped 93% (2024) → 83% (2025), into the range proxy advisors flag, and two directors drew weak support (76% / 72%).

GOVERNANCE FLAGS

- single-class (one share, one vote)
- independent chair, separate from CEO; but classified (staggered) board
- founder Chip Wilson ~8.7% (off the board since 2015) ran a public proxy fight
- settled May 2026: 2 Wilson nominees (+1 more) + a declassification commitment; ~18-mo standstill

> PEOPLE READ
> Professionalized and single-class with an independent chair and disciplined buybacks — but a live governance moment: CEO Calvin McDonald is out (Jan 2026; interim co-CEOs + external search), a founder proxy fight just settled (Chip Wilson ~8.7%, two board seats), a classified board, the failed Mirror deal, and slipping say-on-pay support.

THE FOUR LEGS

People ●●●○○
observable composite · 1–5

Opportunity
§6c scenarios · Page-3 business snapshot · §13 AI (LULU 1.95)

Context
§6d 7 Powers (Power Audit)

Deal
Open-market purchase = the deal: entry price vs. the §6c scenario distribution (the +65% finding) + §12 sizing.

Lululemon Athletica supporting analysis · disclaimers · glossary

Bear $157.77 Base $235.52 Bull $324.02

PUSHBACK · WHY THE BASE CASE IS TOO HARSH

1 **~10x FCF for a 22%-margin brand.**
Net-cash, $1.58B FCF, ~22% operating margin — priced like a terminal-decline retailer, not a premium brand.

2 **Cornered-resource fabrics.**
Proprietary Nulu/Luxtreme/Everlux blends + fit/quality are the hardest thing for Alo/Vuori/dupes to replicate.

3 **Huge international runway.**
China +29%, international +22%, only ~16% of revenue — a multi-year growth engine the US weakness masks.

4 **Heavy buyback at the lows.**
No dividend; ~$1.6B authorization remaining, retiring shares at ~10x FCF — accretive.

5 **New CEO from Nike.**
Heidi O'Neill (ex-Nike) + a settled founder proxy fight = fresh product/turnaround optionality.

FALSIFICATION TRIGGERS

Bull validation

US/Americas revenue returns to growth · international stays >20% · gross margin re-expands above 58% · footwear/men's scale

Bear validation

Americas declines for 2+ years · DTC share falls below 22% · gross margin compresses below 55% on sustained promotions

Reframe needed

if the brand goes structurally cold (Under-Armour path) the cornered-resource Power erodes — re-rate the terminal toward a commodity-apparel multiple

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Forward-looking statements.

Scenarios, valuations, projections, and any forward-looking statements involve substantial assumptions and uncertainty. Actual results may differ materially from those projected. Past performance is not indicative of future results. The model is a model; reality is not.

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GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

DTC / wholesale — Direct-to-consumer (stores + digital, ~60% of sales, higher margin) vs wholesale; the channel mix that supports the brand premium.

Dupes — Lower-priced look-alikes (and premium challengers Alo/Vuori) eroding lululemon's US share — the central bear mechanism.

Power of Three x2 — Management's plan to double men's + digital and quadruple international vs 2021 — now at risk on the FY26 guide.

Cornered resource — Helmer Power: proprietary fabrics + fit/quality that rivals can't easily copy — lululemon's most durable moat.

FCF margin — Free cash flow / revenue (~14% in FY25); the mature-DCF lever the 22% operating margin converts to.